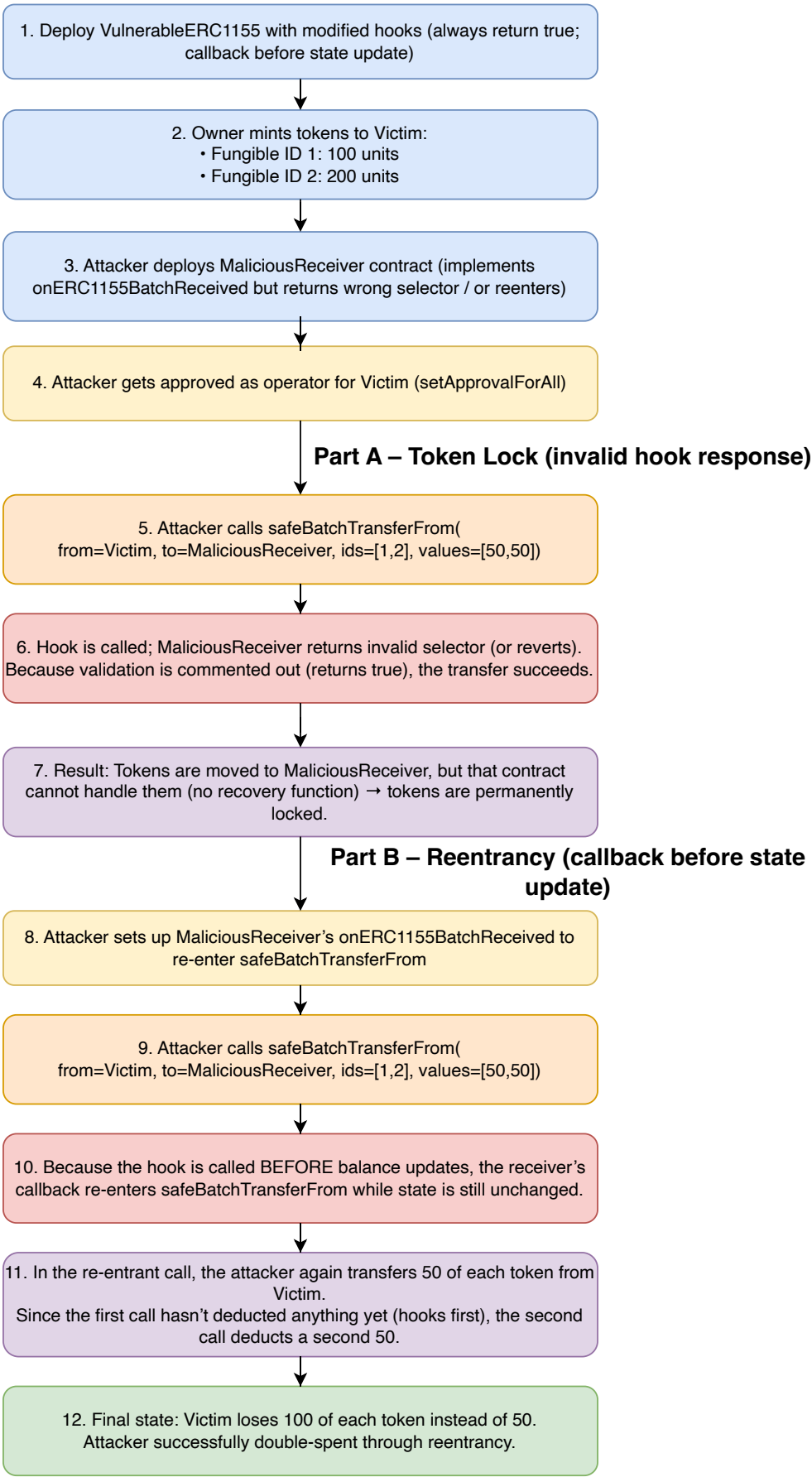


Integration Exploit – VulnerableERC1155 (Receiver Hook Failures + Reentrancy)



Root Cause 1 (Token Lock): The contract unconditionally accepts any response from the receiver (or ignores the hook entirely), so it never reverts when the receiver is incompatible. This violates the ERC-1155 specification and leads to permanent asset loss.

Root Cause 2 (Reentrancy): The external callback is executed before the contract's internal balances are updated. This gives the attacker a window to re-enter the same function and drain additional funds while the state is still unchanged from the first call.

Security Lesson: Always validate the receiver's return value with a strict `require`. Use the Checks-Effects-Interactions pattern: update all state (balances, ownership) before making any external calls, and ensure that reentrant calls cannot abuse stale state.